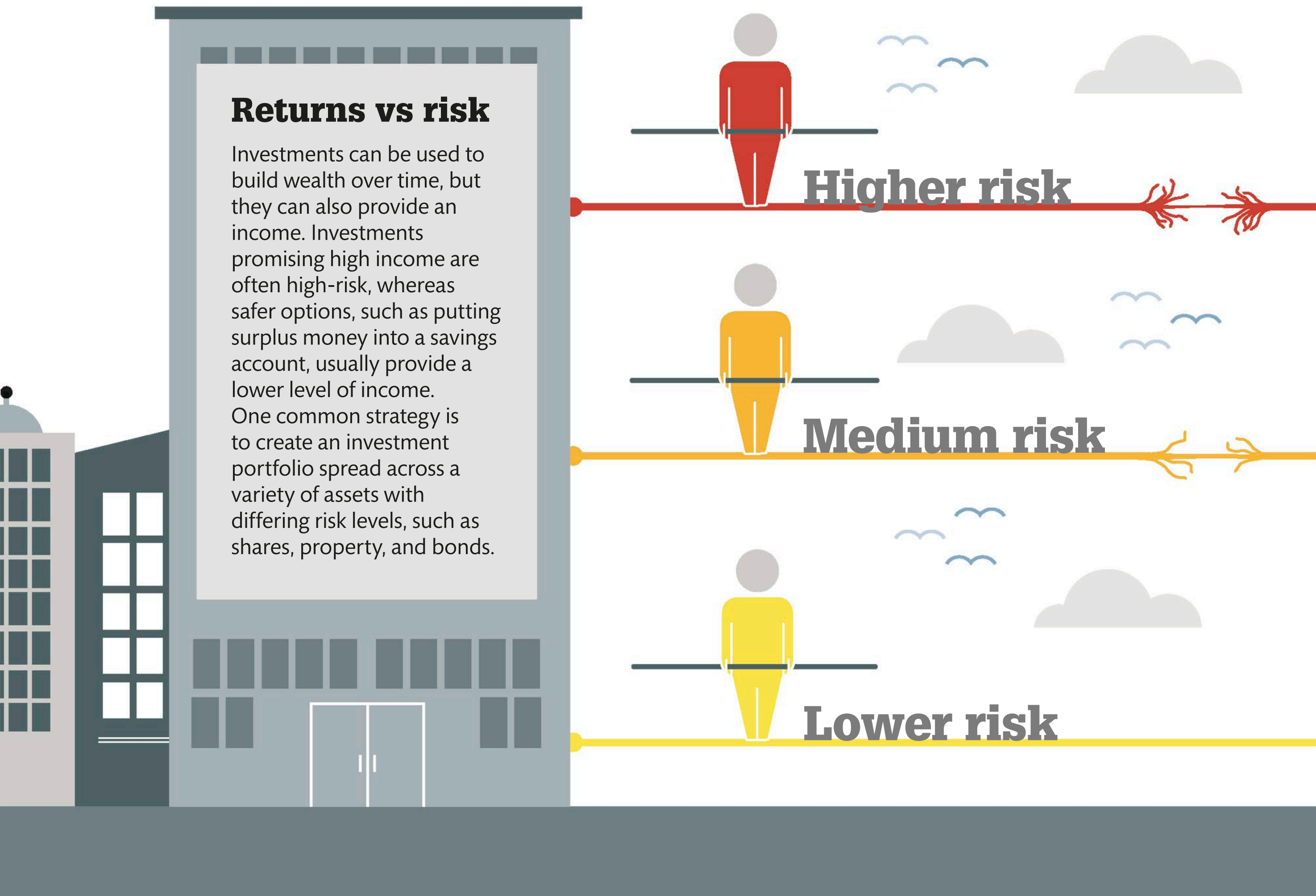
Investments for income

The main aim of personal finance planning is to ensure that there is enough money to buy a larger house if an individual's family grows, to provide for children's education, and ultimately to have a healthy income in retirement. To achieve this, individuals should invest in assets that will generate a stream of cash in the future. Many investors use a management service to look after their money in return for a percentage of returns; others prefer to research and invest directly on their own.



Returns vs risk

Investments can be used to build wealth over time, but they can also provide an income. Investments promising high income are often high-risk, whereas safer options, such as putting surplus money into a savings account, usually provide a lower level of income. One common strategy is to create an investment portfolio spread across a variety of assets with differing risk levels, such as shares, property, and bonds.